

# Titan Company Ltd (NSE: TITAN)

## Free cash flow supports less than half the share price

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### Summary

I value Titan two ways on the same revenue forecast. A free cash flow (FCFF) DCF gives **₹2,131 per share**, 52.8% below the ₹4,515.70 close on 1 October 2026. A discounted-earnings model, which treats all net income as if it could be paid out and exits at 26.5x earnings, gives ₹4,058 (10.1% below). The difference is reinvestment: a growing jeweller has to keep buying gold inventory and opening stores, so only 46% of Titan's after-tax operating profit from FY2027 to FY2042 turns into free cash flow.

### How the FCFF value is built

- **Revenue:** ₹876 bn in FY2026 to ₹5,852 bn in FY2042, a 12.6% CAGR. Analyst estimates for FY2027–FY2029 (17.2%, 17.6%, 17.0%), then my S-curve fade to 7.0% by FY2042. Both models use this path.
- **Operations, from Titan's own history:** EBIT margin 9.45% (FY2022–FY2026 average) less 0.28 pts for an assumed 2% cost of gold on loan; net capex 1.3% of sales; working capital 23.8% of sales.
- **Discount rate:** 10.08% WACC: cost of equity 10.26%, debt 3.5% of capital at 6.84% pre-tax. Terminal growth 6.0%.
- **Value:** enterprise value ₹2,023 bn, of which 70.8% is terminal value (10.5x FY2042 EBITDA), less ₹126 bn net debt.

### What ₹4,516 is pricing in

Working backwards, one assumption at a time:

- An EBIT margin of **14.6%** every year, against a 9.5% average and a peak of 10.9% in FY2023.
- Or a WACC of 8.21%, or 8.6% growth a year forever after FY2042.
- In the earnings model, an exit multiple of about 31x instead of 26.5x, or revenue growth 0.9 pts higher every year (13.5% CAGR).

### Why the market could be right

- **Track record:** revenue compounded at 23.2% a year and net income at 24.4% from FY2017 to FY2026. My 12.6% is roughly half that pace.
- **Momentum:** Q1 FY2027 revenue rose 29.3% year on year and net margin reached 8.3%, well above the 6.7% I assume.
- **Brand and market structure:** Tanishq and the shift from local jewellers to organised chains could keep growth higher for longer than a fade to 7% implies.

### Why I still see a gap

- Growth uses cash. At 17.6% growth in FY2028, reinvestment absorbs 71% of NOPAT; even in FY2042 it takes 42%.
- At 79x FY2026 earnings, the price leaves little room for a slowdown, and 63–71% of my values sit in the terminal value.
- Jewellery revenue moves with gold prices, which can flatter or hurt growth in any single year.

### What would change my mind

Margins holding well above 11% (Titan's best year was 10.9%), or growth needing much less working capital, for example through more gold on loan or franchise partners carrying stock. Either would close part of the gap.

#### FCFF DCF VALUE PER SHARE

## ₹2,131

vs ₹4,515.70 close, 1-Oct-2026

**–52.8% implied downside**

#### Discounted-earnings cross-check

**₹4,058** (–10.1%)

|                         |            |
|-------------------------|------------|
| Market value, diluted   | ₹4,019 bn  |
| Diluted shares          | 890 mn     |
| P/E on FY2026 earnings  | 79.2x      |
| WACC                    | 10.08%     |
| Terminal growth         | 6.0%       |
| Terminal value, % of EV | 70.8%      |
| Revenue CAGR, FY26–42   | 12.6%      |
| Gold on loan as debt    | ₹1,639     |
| Valuation date          | 1-Oct-2026 |

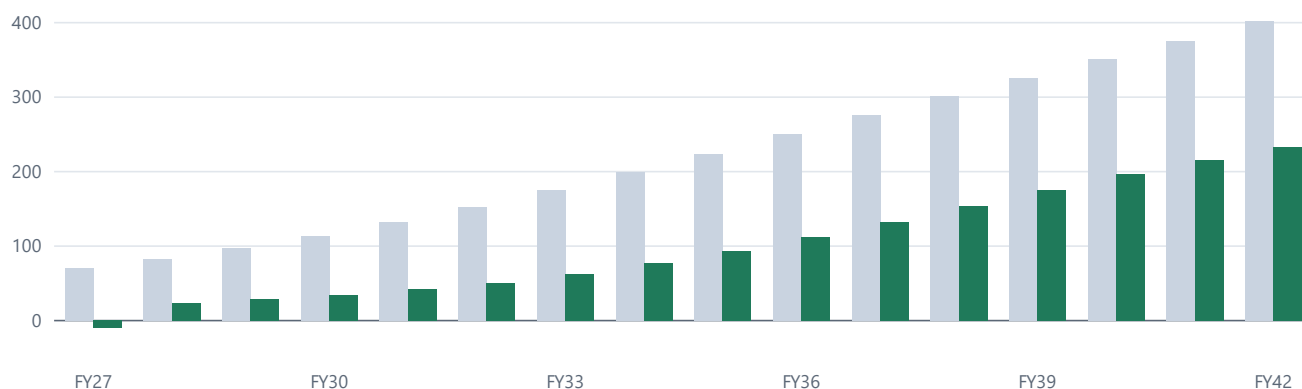
#### What the price implies

|                          |       |
|--------------------------|-------|
| EBIT margin (avg 9.5%)   | 14.6% |
| WACC (base 10.08%)       | 8.21% |
| Exit P/E, earnings model | ~31x  |

**Base-case view:** both models put intrinsic value below the price, and no cell in the FCFF sensitivity tables on page 2 reaches ₹4,516. My peer comps (jewellery-peer-comps on GitHub) point the same way.

## After-tax operating profit vs free cash flow, FY2027–FY2042 (₹ bn)

■ NOPAT ■ Free cash flow to the firm (FCFF)



FY2027 FCFF is negative because working capital rises to 23.8% of sales from 20.3% at FY2026. Over FY2027–FY2042, FCFF is 46% of NOPAT.

## Forecast summary (₹ bn)

|                               | FY26A | FY27E        | FY28E       | FY29E       | FY30E       | FY32E       | FY35E       | FY38E        | FY42E        |
|-------------------------------|-------|--------------|-------------|-------------|-------------|-------------|-------------|--------------|--------------|
| Revenue                       | 875.8 | 1,026.4      | 1,207.2     | 1,412.9     | 1,651.2     | 2,223.1     | 3,265.9     | 4,383.0      | 5,852.0      |
| EBIT, after gold-loan fee     | 75.3  | 94.2         | 110.7       | 129.6       | 151.5       | 203.9       | 299.6       | 402.1        | 536.8        |
| NOPAT (after 25.17% tax)      | –     | 70.5         | 82.9        | 97.0        | 113.3       | 152.6       | 224.2       | 300.9        | 401.7        |
| – Net capex (capex – D&A)     | –     | 13.8         | 16.2        | 18.9        | 22.1        | 29.8        | 43.8        | 58.7         | 78.4         |
| – Increase in working capital | –     | 66.7         | 43.1        | 49.0        | 56.8        | 71.8        | 86.9        | 88.2         | 90.6         |
| <b>FCFF</b>                   | –     | <b>-10.0</b> | <b>23.6</b> | <b>29.0</b> | <b>34.4</b> | <b>51.0</b> | <b>93.5</b> | <b>153.9</b> | <b>232.7</b> |
| PV of FCFF counted            | –     | -4.7         | 20.5        | 22.9        | 24.6        | 30.1        | 41.3        | 51.0         | 52.5         |

FY2027E counts 50% of FCFF: the part of the year after the 1-Oct-2026 price date. PV is at the price date. FY26A EBIT is reported.

## Valuation bridge (₹ bn)

|                                                       |                |
|-------------------------------------------------------|----------------|
| PV of FCFF, FY2027–FY2042                             | 589.9          |
| Terminal value at FY2042: FCFF FY2043 ÷ (WACC – 6.0%) | 6,348.2        |
| × discount factor (0.2258; 15.50 years)               | 1,433.2        |
| <b>Enterprise value (70.8% terminal)</b>              | <b>2,023.1</b> |
| – Net debt (excl. gold on loan, incl. leases)         | 126.3          |
| <b>Equity value</b>                                   | <b>1,896.8</b> |
| ÷ diluted shares (mn)                                 | 890            |
| <b>Value per share (₹)</b>                            | <b>2,131</b>   |
| Upside / (downside) vs ₹4,515.70                      | <b>(52.8%)</b> |

## WACC (₹ bn, FY2026 balance sheet)

|                                                    |               |
|----------------------------------------------------|---------------|
| Equity, market value                               | 4,019.0       |
| Debt excl. gold on loan, incl. leases              | 145.5         |
| Debt weight                                        | 3.5%          |
| Cost of equity                                     | 10.26%        |
| Pre-tax cost of debt (interest less gold-loan fee) | 6.84%         |
| Tax rate                                           | 25.17%        |
| <b>WACC</b>                                        | <b>10.08%</b> |

**Gold on loan** (₹160.7 bn) is gold borrowed from banks to hold as stock. Base case: operating funding, with an assumed 2% yearly cost charged to EBIT. Treated as debt instead: ₹1,639 a share (WACC 9.78%, working capital 37.7% of sales).

## Sensitivity: FCFF DCF value per share (₹)

WACC (rows) × terminal growth (columns)

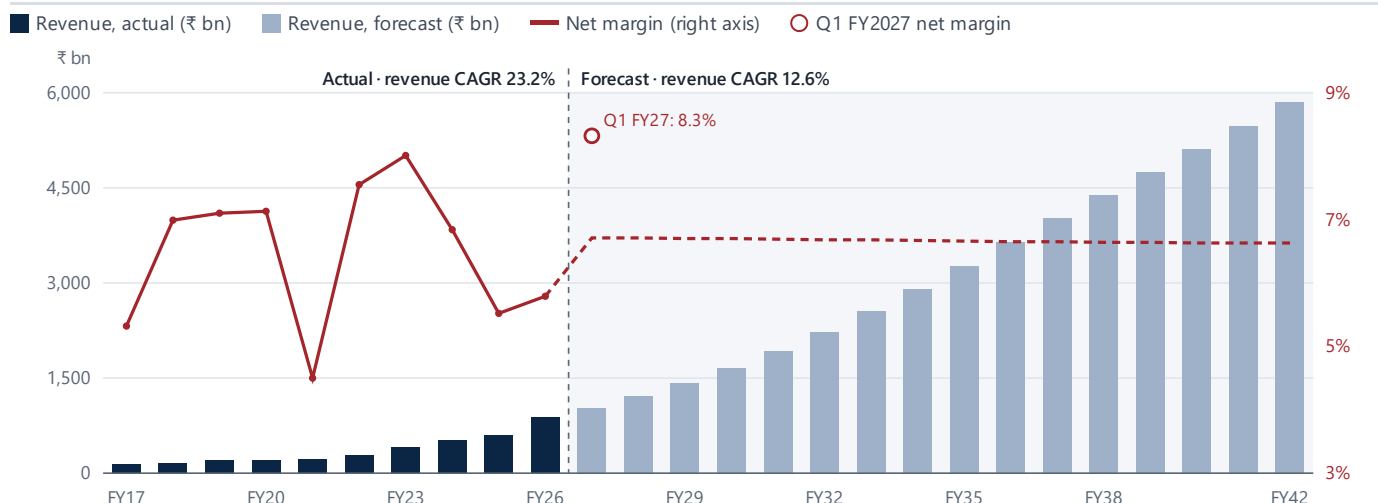
|        | 5.0%  | 5.5%  | 6.0%         | 6.5%  | 7.0%  |
|--------|-------|-------|--------------|-------|-------|
| 9.08%  | 2,515 | 2,741 | 3,041        | 3,456 | 4,071 |
| 9.58%  | 2,154 | 2,315 | 2,521        | 2,793 | 3,171 |
| 10.08% | 1,868 | 1,985 | <b>2,131</b> | 2,318 | 2,566 |
| 10.58% | 1,635 | 1,723 | 1,829        | 1,962 | 2,132 |
| 11.08% | 1,443 | 1,509 | 1,589        | 1,686 | 1,807 |

Working capital, % of sales (rows) × EBIT margin before fee (columns)

|       | 8.5%  | 9.5%         | 10.5% | 11.5% | 12.5% |
|-------|-------|--------------|-------|-------|-------|
| 15.8% | 2,081 | 2,542        | 3,003 | 3,464 | 3,925 |
| 19.8% | 1,876 | 2,337        | 2,798 | 3,258 | 3,719 |
| 23.8% | 1,670 | <b>2,131</b> | 2,592 | 3,053 | 3,514 |
| 27.8% | 1,465 | 1,926        | 2,387 | 2,848 | 3,308 |

Outlined: base case (₹2,131). Shaded cells would be at or above the ₹4,516 price; none are. Margins, capex and D&A are FY2022–FY2026 averages; working capital is the FY2024–FY2026 average.

## Revenue and net margin, FY2017–FY2042



Actuals: company filings (consolidated). Forecasts: the author's model. Fiscal years end 31 March.

## Forecast summary (₹ bn)

|                          | FY26A | FY27E   | FY28E   | FY29E   | FY30E   | FY32E   | FY35E   | FY38E   | FY42E   |
|--------------------------|-------|---------|---------|---------|---------|---------|---------|---------|---------|
| Revenue                  | 875.8 | 1,026.4 | 1,207.2 | 1,412.9 | 1,651.2 | 2,223.1 | 3,265.9 | 4,383.0 | 5,852.0 |
| Revenue growth           | 44.9% | 17.2%   | 17.6%   | 17.0%   | 16.9%   | 15.7%   | 12.6%   | 9.2%    | 7.0%    |
| Net margin               | 5.8%  | 6.7%    | 6.7%    | 6.7%    | 6.7%    | 6.7%    | 6.7%    | 6.6%    | 6.6%    |
| Net income               | 50.7  | 68.9    | 81.0    | 94.7    | 110.6   | 148.6   | 217.6   | 291.1   | 387.9   |
| PV of net income counted | –     | 32.5    | 70.0    | 74.2    | 78.6    | 86.9    | 94.9    | 94.7    | 85.4    |

## Valuation bridge (₹ bn)

|                                                   |                |
|---------------------------------------------------|----------------|
| PV of net income, FY2027–FY2042                   | 1,346.5        |
| Terminal value: ₹387.9 bn × 26.5x                 | 10,287.4       |
| × discount factor (0.2201; 15.50 years at 10.26%) | 2,264.6        |
| <b>Equity value (62.7% terminal)</b>              | <b>3,611.2</b> |
| ÷ diluted shares (mn)                             | 890            |
| <b>Value per share (₹)</b>                        | <b>4,058</b>   |
| Upside / (downside) vs ₹4,515.70                  | (10.1%)        |

## Method and sources

- **Earnings model:** net income treated as cash flow to equity, discounted at a 10.26% cost of equity; net margin fades from 6.71% to 6.63%. No cash, debt or reinvestment adjustment, which is why it sits above the FCFE value.
- **Monte Carlo** (10,000 runs, my assumed spreads): median ₹4,041, 90% range ₹2,631–₹6,358; 34% of runs exceed the price.
- **Sources:** financials via Screener.in (consolidated, retrieved 1-Oct-2026); gold on loan from ICICI Direct's Q4FY26 result update and Titan's Q4FY26 results; forecasts to FY2029, cost of equity and exit P/E from Alpha Spread's TITAN base case (26-Sep-2026); price from Yahoo Finance.
- **Not adjusted:** investments, minority interests, FY2027 cash before the price date.

## Sensitivity: discounted-earnings value per share (₹)

Cost of equity (rows) × exit P/E on FY2042 earnings (columns)

|        | 20.5x | 23.5x | 26.5x        | 29.5x | 32.5x |
|--------|-------|-------|--------------|-------|-------|
| 9.26%  | 3,904 | 4,236 | 4,567        | 4,899 | 5,230 |
| 9.76%  | 3,686 | 3,995 | 4,303        | 4,612 | 4,921 |
| 10.26% | 3,482 | 3,770 | <b>4,058</b> | 4,345 | 4,633 |
| 10.76% | 3,291 | 3,560 | 3,828        | 4,096 | 4,365 |
| 11.26% | 3,114 | 3,364 | 3,614        | 3,864 | 4,114 |

Revenue growth shift, every year (rows) × FY2042 net margin (columns)

|        | 5.63% | 6.13% | 6.63%        | 7.13% | 7.63% |
|--------|-------|-------|--------------|-------|-------|
| –4 pts | 2,234 | 2,386 | 2,537        | 2,688 | 2,839 |
| –2 pts | 2,809 | 3,007 | 3,204        | 3,401 | 3,599 |
| Base   | 3,543 | 3,800 | <b>4,058</b> | 4,315 | 4,572 |
| +2 pts | 4,479 | 4,813 | 5,148        | 5,482 | 5,816 |
| +4 pts | 5,670 | 6,104 | 6,537        | 6,970 | 7,403 |

Outlined: base case (₹4,058). Shaded: at or above the ₹4,516 share price. Code, Excel model and tests: [github.com/Dakshcore/titan-valuation](https://github.com/Dakshcore/titan-valuation).